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1. Depositing Corporate Payout

Authors: Leming Lin

DOI: [10.1017/s0022109026102646](https://doi.org/10.1017/s0022109026102646)

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, Banking
- **Theories:** Capital Allocation, Intermediation Channel

Abstract:

This article studies the flow of payout funds in the financial system. Using various data sources and empirical strategies, it provides evidence that a significant portion of payouts enters the banking sector as deposits, which are then intermediated to bank borrowers. The findings highlight an important channel through which corporate payout policies shape capital allocation in the economy and suggest that policies aimed at restricting payouts may distort this process by limiting the flow of funds from large and profitable corporations to small, bank-dependent firms and households.

Lin - Depositing Corporate Payout.pdf

2. Is the Value Premium Dead? Forecasting Value–Growth Cycles with the Implied Value Premium

Authors: Yan Li, David Tat-Chee Ng, Bhaskaran Swaminathan

DOI: [10.1017/s0022109026102609](https://doi.org/10.1017/s0022109026102609)

Fields & Theories:

- **Fields:** Asset Pricing, Behavioral Finance, Investment Management
- **Theories:** Investment CAPM, Efficient Market Hypothesis, Behavioral Bias

Abstract:

We introduce the implied value premium (IVP), the difference between the implied costs of capital of value and growth stocks, to predict time variation in the ex post value premium. During 1977–2023, IVP is the strongest predictor of the ex post value premium. It also predicts the investment premium, consistent with the Investment CAPM. However, IVP ' s ability to predict the difference in cumulative abnormal returns around quarterly earnings announcements of value and growth stocks suggests that mispricing may also play a role. Overall, our results suggest that recent value underperformance reflects cyclical variation rather than a permanent shift.

Li - Is the Value Premium Dead Forecasting Value–Growth Cycles with the Implied Value.pdf

3. A Shared Interest: Do Bonds Strengthen Equity Monitoring?

Authors: Todd A. Gormley, Manish Jha

DOI: [10.1017/s002210902610266x](https://doi.org/10.1017/s002210902610266x)

Fields & Theories:

- **Fields:** Corporate Finance, Asset Management, Financial Intermediation
- **Theories:** Agency Theory, Stewardship, Monitoring

Abstract:

Institutional investors conduct more governance research and are less likely to follow proxy advisor vote recommendations when a company' s bonds comprise a larger share of their assets. These findings are driven by bond holdings, shareholder proposals, and companies where fixed-income managers are more

likely to be attentive and share an interest with equity investors in improving governance. The findings do not concentrate on companies or shareholder proposals where creditor–shareholder conflicts are likely. Overall, the findings suggest that corporate bond holdings influence how actively institutions monitor their equity positions and contribute to institutions’ overall incentive to be engaged stewards.

Gormley - A Shared Interest Do Bonds Strengthen Equity Monitoring.pdf

4. Dr Jekyll and Mr Hyde: Feedback and Welfare When Hedgers Can Acquire Information

Authors: Jacques Olivier

DOI: [10.1017/s0022109026102671](https://doi.org/10.1017/s0022109026102671)

Fields & Theories:

- **Fields:** Market Microstructure, Financial Regulation, Information Asymmetry
- **Theories:** Feedback Effects, Strategic Complementarities, Endogenous Information Acquisition, General Equilibrium

Abstract:

I ask whether hedgers who speculate should be regulated differently from other speculators in a model where information acquisition is endogenous, and information has real effects. Hedging benefits and feedback effects generate strategic complementarities between market-maker, firm manager, and trader, which causes multiple equilibria. Gains from trade are lower when hedgers acquire information, while speculators may produce less information than socially desirable. A “Volcker rule” separating hedging and speculative activities may help select the higher welfare equilibrium. When too little information is produced, contracts whereby a firm subsidizes losses of designated market-makers (DMM) to make prices more informative increase welfare.

Olivier - Dr Jekyll and Mr Hyde Feedback and Welfare When Hedgers Can Acquire Information.

5. Does General Solicitation Improve Access to Equity Capital for Small Businesses? Evidence from the JOBS Act

Authors: Anup Agrawal, Yuree Lim

DOI: [10.1017/s0022109025102470](https://doi.org/10.1017/s0022109025102470)

Fields & Theories:

- **Fields:** Corporate Finance, Entrepreneurial Finance, Venture Capital, Financial Regulation
- **Theories:** Selection Bias, Information Asymmetry, Agency Theory

Abstract:

Under Title II of the Jumpstart Our Business Startups Act, firms can sell private placement securities to the public via general solicitation (GS) or privately (non-GS). We find that equity offerings under GS tend to be riskier than under non-GS. After accounting for selection, GS issuers are less likely to succeed in i) raising capital, ii) getting venture capital (VC) funding, and iii) exiting via IPO or mergers and acquisitions, and incur substantial brokerage costs for advertising and verifying investor accreditation. However, GS appears to help new entrants and offerings that use registered brokers. The success of Form D financing improves future VC financing and exit outcomes.

Agrawal - Does General Solicitation Improve Access to Equity Capital for Small Businesses.

6. Investment Functions with q in the Presence of Unobserved Persistent Shocks

Authors: Kyoo il Kim, Suyong Song, Jiawei (Brooke) Wang

DOI: [10.1017/s0022109026102695](https://doi.org/10.1017/s0022109026102695)

Fields & Theories:

- **Fields:** Corporate Finance, Asset Pricing
- **Theories:** q-Theory of Investment, Measurement Error, Rational Expectations

Abstract:

We study the classical relationship between a firm's investment and q , for which an unobserved persistent shock is an important factor in the investment decision. In our setting, besides the potential measurement problem of q , controlling for the unobserved shock becomes a new challenge. We develop an estimation method that addresses both econometric issues given timing and information set assumptions. Using 16,256 unique public firms in the United States from 1975 to 2021, we find that q remains a significant factor of investment even after controlling for the unobserved shock and measurement error.

Kim - Investment Functions with q in the Presence of Unobserved Persistent Shocks.pdf

7. Expected and Realized Returns on Volatility

Authors: Guanglian Hu, Kris Jacobs

DOI: [10.1017/s0022109026102683](https://doi.org/10.1017/s0022109026102683)

Fields & Theories:

- **Fields:** Asset Pricing, Derivatives
- **Theories:** Volatility Risk Premium, Efficient Market Hypothesis, Risk-Return Trade-off

Abstract:

Expected returns on market volatility, which can be obtained from VIX futures prices in closed form using standard models, positively predict subsequent realized volatility returns. Volatility returns are negative on average. Following increases in volatility, expected volatility returns and subsequent realized volatility returns become more negative. Because realized volatility returns are negatively correlated with index returns, expected volatility returns also negatively predict S&P 500 index returns, but these results are less significant. The results are robust to a wide range of variations in the empirical setup and to small-sample biases.

Hu - Expected and Realized Returns on Volatility.pdf

8. Real Disinvestments and the Distress Anomaly: Evidence from Stocks, Bonds, and Loans

Authors: Shuwen Yang, Kevin Aretz, Yafei Zhang

DOI: [10.1017/s0022109026102701](https://doi.org/10.1017/s0022109026102701)

Fields & Theories:

- **Fields:** Asset Pricing, Corporate Finance, Credit Risk
- **Theories:** Real Options Theory, Agency Theory, Distress Anomaly

Abstract:

We argue that firms' ability to disinvest real assets helps rationalize the negative distress premiums in stocks, bonds, and, as we show, loans and firm assets. Using a real options model in which shareholders and debtholders share disinvestment proceeds, the model suggests that the stock (debt) distress premium becomes more negative with the proceeds paid out to that class, and that both premiums can be negative when debtholders receive most of the proceeds. Using hard-asset disinvestment-ability proxies, the stock (bond or loan) distress premium becomes less (more) negative with those proxies, possibly suggesting that shareholders benefit more strongly from nonsecured-asset disinvestments.

Yang - Real Disinvestments and the Distress Anomaly Evidence from Stocks, Bonds, and Lo.pdf

9. Management Disclosure and Media Coverage

Authors: Hamid Boustanifar, Sasan Mansouri

DOI: [10.1017/s0022109026102634](https://doi.org/10.1017/s0022109026102634)

Fields & Theories:

- **Fields:** Corporate Finance, Information Intermediaries, Behavioral Finance
- **Theories:** Information Asymmetry, Machine Learning, Supply-driven Media Coverage

Abstract:

We examine how management disclosure affects media coverage by analyzing firms' responses in earnings call Q&A sessions. Using a machine-learning-based "non-answer" score, we find that evasive managerial responses reduce subsequent media attention, particularly from professional outlets generating original content. This supports a supply-driven view of media coverage: poor disclosure limits journalistic content creation. Reduced coverage, in turn, is associated with lower investor engagement and weaker stock performance. Our findings highlight the critical role of a firm's information environment in shaping the level and nature of subsequent media coverage, with implications for broader financial market outcomes.

Boustanifar - Management Disclosure and Media Coverage.pdf

10. Silencing Pollution: The Environmental Consequences of Anti-SLAPP Laws

Authors: Xikai Chen, Jinjun (Ricky) Ke, Yu Flora Kuang

DOI: [10.1017/s0022109026102658](https://doi.org/10.1017/s0022109026102658)

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, Law and Finance
- **Theories:** Difference-in-Differences, Stakeholder Theory, Agency Theory, Governance

Abstract:

We examine whether free-speech protections influence corporate environmental performance. Using the staggered enactment of U.S. anti-SLAPP statutes in a stacked difference-in-differences design from 1990 to 2019, we find that these laws significantly reduce firms' toxic emissions without curbing economic activity. Anti-SLAPP enactments also promote environmental investment through green innovation, abatement spending, and waste reduction management, and strengthen governance via improved sustainability oversight, ESG-linked executive pay, employee training, and supply chain management. The effects are stronger when stakeholder monitoring is stronger and when managerial incentives embed sustainability goals. Overall, free-speech protections generate powerful environmental benefits.

Chen - Silencing Pollution The Environmental Consequences of Anti-SLAPP Laws.pdf

11. Housing Speculation and Investment in Children's Education: Evidence from House Purchase Restrictions in China

Authors: Geng Niu, Xuefeng Xiang, Liuming Yang, Yang Zhou

DOI: [10.1017/s0022109026102713](https://doi.org/10.1017/s0022109026102713)

Fields & Theories:

- **Fields:** Household Finance, Real Estate Finance, Human Capital
- **Theories:** Crowding-out Effect, Difference-in-Differences, Portfolio Choice, Speculative Bubbles

Abstract:

Housing and human capital represent two major forms of household wealth. This article investigates the potential for housing speculation to crowd out household investment in children's education, an endeavor that only pays off in the long run. To address endogeneity concerns, we exploit the unintended spillover effect of staggered house purchase restrictions (HPR) in China. Using a difference-in-differences approach,

we find that HPR reduce educational investment of households in nearby unregulated cities. We also provide evidence consistent with a housing speculation channel. These findings shed new light on the socioeconomic consequences of housing market booms.

Niu - Housing Speculation and Investment in Children's Education Evidence from House P.pdf

The Journal of Finance

1. Competition Enforcement and Accounting for Intangible Capital

Authors: JOHN D. KEPLER, CHARLES G. MCCLURE, CHRISTOPHER R. STEWART

DOI: [10.1111/jofi.70028](https://doi.org/10.1111/jofi.70028)

Fields & Theories:

- **Fields:** Corporate Finance, Financial Regulation, Industrial Organization
- **Theories:** Market Power, Regulatory Arbitrage

Abstract:

Antitrust laws mandate review of mergers and acquisitions (M&As) that exceed an asset size threshold based on accounting standards that exclude most intangible capital. We show that this exclusion leads to thousands of intangible-intensive M&As being nonreportable. Acquirers in nonreportable deals achieve higher equity values and price markups, especially when consolidating product markets. Furthermore, nonreportable pharmaceutical deals are three times more likely to involve overlapping drug projects, which are subsequently 40% more likely to be terminated. Our results suggest that the growth of intangible assets may exacerbate market power through nonreportable consolidation of the sectors most concerning for consumers.

KEPLER - Competition Enforcement and Accounting for Intangible Capital.pdf

2. Carbon Pricing versus Green Finance

Authors: LASSE HEJE PEDERSEN

DOI: [10.1111/jofi.70022](https://doi.org/10.1111/jofi.70022)

Fields & Theories:

- **Fields:** ESG/Sustainable Finance, Public Finance, Asset Pricing
- **Theories:** Social Cost of Carbon, General Equilibrium

Abstract:

Green finance—including environmental, social, and governance investing and sustainable finance regulations—is widespread, but can it substitute for carbon pricing in fighting climate change? In a unified model, I show that (i) when carbon prices reflect the social cost of carbon, green finance should not be used; (ii) when carbon prices are too low, green finance can implement the social optimum if each firm's cost of capital can be set to its sustainable discount rate, which increases with the ratio of carbon emissions to firm value. I provide calibrations, analyze stranded assets, and present implementations through subsidies or preferential financing for green firms.

PEDERSEN - Carbon Pricing versus Green Finance.pdf

3. Dynamic Trading with Realization Utility

Authors: MIN DAI, CONG QIN, NENG WANG

DOI: [10.1111/jofi.13472](https://doi.org/10.1111/jofi.13472)

Fields & Theories:

- **Fields:** Behavioral Finance, Asset Pricing, Household Finance
- **Theories:** Realization Utility, Disposition Effect, Mental Accounting, Leverage Constraints

Abstract:

An investor receives utility bursts from realizing gains and losses at the individual stock level and dynamically allocates his mental budget between risky and risk-free assets at the trading account level. Using savings, he reduces his stockholdings and is more willing to realize losses. Using leverage, he increases his stockholdings beyond his mental budget and is more reluctant to realize losses. While leverage strengthens the disposition effect, introducing leverage constraints mitigates it. Our model predicts that investors with stocks in deep losses sell them either immediately or after stocks rebound a little.

DAI - Dynamic Trading with Realization Utility.pdf

4. The Benefits of Access: Evidence from Private Meetings with Portfolio Firms

Authors: MARCO BECHT, JULIAN FRANKS, HANNES F. WAGNER

DOI: [10.1111/jofi.13495](https://doi.org/10.1111/jofi.13495)

Fields & Theories:

- **Fields:** Asset Pricing, Financial Intermediation, ESG/Sustainable Finance, Information Asymmetry
- **Theories:** Information Asymmetry, Soft Information, Large Language Models, Informed Trading

Abstract:

We use large language models to analyze the content of 4,700 private meetings between a large active asset manager and its portfolio firms. The high-level meetings convey mostly soft information about the firm, and little about industry or market. Fund manager meetings focus on business models and financial metrics, while governance specialist meetings focus on environmental, social, and governance risks; 0.4% of meetings discuss material nonpublic information. Trades by fund managers increase with meetings attended by senior management, rated as unusually good or bad, where the tone is significantly positive or negative, or assessed as creating consensus. Meeting-informed portfolios can generate significant outperformance.

BECHT - The Benefits of Access Evidence from Private Meetings with Portfolio Firms.pdf

Review of Finance

1. Cybersecurity and financial stability

Authors: Kartik Anand, Channele Duley, Prasanna Gai

DOI: [10.1093/rof/rfaf079](https://doi.org/10.1093/rof/rfaf079)

Fields & Theories:

- **Fields:** Banking, Financial Intermediation, Financial Regulation, Risk Management
- **Theories:** Bank Runs, Moral Hazard, Public Goods Theory, Insolvency vs Illiquidity

Abstract:

Cyber risk exposes banks to operational disruptions that can trigger runs. A bank chooses its cybersecurity by trading off protection against attacks with remaining resilient if an attack succeeds. Cybersecurity functions as a risk-management decision: it reduces the bank's exposure to adverse outcomes but entails lower balance-sheet returns. Equilibrium cybersecurity depends on whether failure is driven by insolvency or illiquidity. When failure is insolvency-driven, bank and creditor actions reinforce one another: greater cybersecurity leads to a higher debt burden, which strengthens incentives for protection. When failure is illiquidity-driven, additional cybersecurity lowers the debt burden, eliminating the bank's private risk-return trade-off. Socially optimal cybersecurity differs from the private choice, and corrective instruments must target either the protection or resilience margins. We extend the model to a system-wide environment in which cybersecurity is a public good, highlighting free-riding and the need for targeted regulation.

2. Collateral scarcity and market functioning: insights from the Eurosystem securities lending facilities

Authors: Stefan Greppmair, Stephan Jank

DOI: [10.1093/rof/rfag004](https://doi.org/10.1093/rof/rfag004)

Fields & Theories:

- **Fields:** Financial Intermediation, Market Microstructure, Monetary Policy, Repo Market
- **Theories:** Collateral Multiplier, Quasi-natural Experiment, Supply Elasticity, Market Liquidity

Abstract:

We utilize the Eurosystem securities lending facilities as a laboratory to investigate the impact of collateral scarcity on market functioning. The reduction of securities lending fees, implemented in November 2020, provides a quasi-natural experiment for our analyses. This policy change results in a surge in the utilization of securities lending facilities, particularly for bonds with limited supply elasticity in the repo market. We find no evidence of substitution effects; instead, the overall activity in the repo market expands through the collateral multiplier. The improved pricing conditions alleviate collateral scarcity and enhance market quality in both the repo and cash markets.

Greppmair - Collateral scarcity and market functioning insights from the Eurosystem securities.pdf

The Review of Financial Studies

1. The Present Value of Future Market Power

Authors: Thummim Cho, Marco Grotteria, Lukas Kremens, Howard Kung

DOI: [10.1093/rfs/hhaf112](https://doi.org/10.1093/rfs/hhaf112)

Fields & Theories:

- **Fields:** Asset Pricing, Industrial Organization, Macro-Finance
- **Theories:** Present Value Identity, Market Power, Intangible Capital

Abstract:

We introduce a present-value identity relating a firm's market value to expected future markups, output growth, discount rates, and investments. Distinguishing current from expected markups reveals five empirical facts: (1) Expected markups account for half the rise in U.S. firm values since 1980. (2) The rise in aggregate expected markups reflects market-share reallocation toward high-expected-markup firms and within-firm increases. (3) Expected markups are linked to intangible investments. (4) They relate negatively to discount rates over time but (5) positively to abnormal returns across firms. Finally, variation in long-term expected markups is primarily associated with asset prices rather than current markups.

Cho - The Present Value of Future Market Power.pdf

2. Cooling Auction Fever: Evidence from the Housing Market

Authors: Antonio Gargano, Marco Giacoletti

DOI: [10.1093/rfs/hhaf101](https://doi.org/10.1093/rfs/hhaf101)

Fields & Theories:

- **Fields:** Household Finance, Real Estate Finance, Behavioral Finance
- **Theories:** Auction Theory, Behavioral Bias, Natural Experiment

Abstract:

We study the effects of underquoting, the practice of setting listing prices below sellers' reservation values, on housing auctions. Laws introduced in Australia to deter underquoting lead to higher listing prices, but also to declines in sales prices and sales probabilities. We develop a quantitative model to formalize predictions under different assumptions about bidders' information and rationality. The effects of the laws are matched by a version of the model in which participating bidders overbid. While both behavioral biases arising during the auction and switching costs can explain overbidding, empirical and survey evidence points to behavioral biases as the main mechanism.

Gargano - Cooling Auction Fever Evidence from the Housing Market.pdf

3. Algorithmic Pricing and Liquidity in Securities Markets

Authors: Jean-Edouard Colliard, Thierry Foucault, Stefano Lovo

DOI: [10.1093/rfs/hhag010](https://doi.org/10.1093/rfs/hhag010)

Fields & Theories:

- **Fields:** Market Microstructure, Financial Intermediation, FinTech
- **Theories:** Adverse Selection, Reinforcement Learning, Competition Theory

Abstract:

We study "Algorithmic Market Makers" (AMs) that use Q-learning algorithms to set prices for a risky asset. We find that while AMs successfully adapt to adverse selection, they struggle to learn competitive pricing strategies. This failure is driven by limited experimentation and noisy feedback regarding the profitability of undercutting a competitor. Consequently, an increase in AMs' profit volatility tends to result in less competitive market outcomes. These features leave identifiable patterns: for example, AMs earn higher rents in the absence of adverse selection, and their bid-ask spreads respond asymmetrically to symmetric shocks to their costs.

Colliard - Algorithmic Pricing and Liquidity in Securities Markets.pdf

4. Financial Intermediaries and the Yield Curve

Authors: Andrés Schneider

DOI: [10.1093/rfs/hhaf102](https://doi.org/10.1093/rfs/hhaf102)

Fields & Theories:

- **Fields:** Asset Pricing, Financial Intermediation, Macro-Finance
- **Theories:** General Equilibrium, Financial Constraints, Intermediary Asset Pricing, Taylor Rule

Abstract:

I study the yield curve dynamics in a general equilibrium model with financial intermediaries facing financing constraints. When constraints bind, intermediaries reallocate their portfolios, causing deadweight losses in aggregate consumption, thus affecting savers' marginal utility. Because the yield curve is a forecast of marginal utility, intermediaries' constraints show up, via general equilibrium forces, in long-term yields. I show that the mechanism connecting intermediaries' constraints and long-term yields produces highly nonlinear interest rate dynamics and a positive real term premium in equilibrium. I extend the analysis to the nominal yield curve using a simple Taylor rule.

Schneider - Financial Intermediaries and the Yield Curve.pdf

5. When Do Judges Throw the Book at Companies? The Influence of Partisanship in Corporate Prosecutions

Authors: Todd A Gormley, Mahsa Kaviani, Hosein I Maleki

DOI: [10.1093/rfs/hhaf027](https://doi.org/10.1093/rfs/hhaf027)

Fields & Theories:

- **Fields:** Corporate Finance, Law and Finance, Public Finance
- **Theories:** Political Economy, Partisanship, Incentive Theory

Abstract:

We document that judges' political affiliations are strongly associated with the level of judicial penalties levied against companies. For example, Republican-appointed judges impose larger fines for hiring illegal immigrants, while Democrat-appointed judges impose larger fines for pollution- and environment-related violations. Time-series variation suggests that political partisanship, not fixed ideological differences, drives these findings. The differences become amplified when higher-court judicial vacancies exist and in the months before national elections. Our findings highlight the importance of political polarization for U.S. companies and illustrate how judicial composition can affect firms' incentive to avoid violating laws connected to partisan issues.

Gormley - When Do Judges Throw the Book at Companies The Influence of Partisanship in Corp.pdf

6. Payment for Order Flow and Option Internalization

Authors: Thomas Ernst, Chester Spatt

DOI: [10.1093/rfs/hhaf108](https://doi.org/10.1093/rfs/hhaf108)

Fields & Theories:

- **Fields:** Market Microstructure, Derivatives, Financial Regulation
- **Theories:** Payment for Order Flow, Internalization, Barriers to Entry, Market Making

Abstract:

Option wholesalers specialize in purchasing and executing against retail option order flow. Orders are internalized via auctions (which provide price improvement) and the limit order book. Designated market makers (DMMs) have a key advantage in internalizing limit order book trades: they obtain the first five contracts of any order they bring to an exchange where they are a DMM. We exploit variation in DMM assignments and allocation rules to highlight how these rules create a barrier to entry in option wholesaling that does not exist for equity wholesaling, protecting wholesaler profits and high option PFOF.

Ernst - Payment for Order Flow and Option Internalization.pdf
